SMID BREAKOUT SCANNER

MARKET CLOSE

October 14, 2026 | 03:19 PM ET

2 setups identified | 0 A-Grade | 1 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (1)	C - Watch List (1)
	DAO	MNSO

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	DAO	Youdao, Inc.	China Edtech AI	$18.90	+4.3%	$2.3B	28M	+26.4	98%	Stock breaking out to
C	MNSO	MINISO Group Hol	China Retail Reco	$10.22	+3.0%	$3.0B	85M	-23.4	44%	

Not financial advice. For informational purposes only. Do your own due diligence.

DAO

Youdao, Inc.

$18.90

+4.33%

RS vs SPY: +26.4%

B STRONG SETUP

$2.3B Cap | 28M Float

Education & Training Services | Theme: China Edtech AI | 52W Hi: 98% | Base Tight: 5.38 | Vol: 1.66x | RS/SPY: +26.4% | Above 20MA: YES | EARNINGS IN 36D

SETUP METRICS

Price	**$18.90**
Day Change	**+4.33%**
Mkt Cap	**$2.28B**
Float	**28M sh**
RS vs SPY	**+26.4%**
52W Hi Prox	**98%**
Base Tight	**5.38**
Vol vs Avg	**1.66x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Stock breaking out to 52-week highs on technical strength with RS line at new high, signaling institutional sponsorship. Forward catalyst: November 19 earnings print (36 days out) offers re-rating opportunity if AI-driven learning tools and subscription growth accelerate; China edtech regulatory tailwinds and domestic consumption recovery provide macro support.

BUSINESS & POSITION

Youdao is NetEase's edtech spin-out, offering AI-powered translation, digital learning subscriptions, and smart devices in China. The company pivoted from ad-based to subscription and hardware revenue post-regulatory crackdown, with AI dictionary pens and adaptive learning platforms as differentiated products in a consolidating market.

FACTOR & THEME

Dual exposure to China consumption recovery and AI-assisted education theme. Domestic policy has shifted from harsh edtech crackdowns (2021-2023) to encouraging innovation in AI and lifelong learning. Rising household spending on education technology and device refresh cycles provide secular tailwind, though execution risk remains high in competitive Chinese consumer markets.

BREAKOUT SIGNAL

Close above $18.90 on vol >1.66x of 20d avg

INSTITUTIONAL

Volume 1.66x average suggests modest accumulation, but the float is small (27.5M) and RS line at new high is a strong early-leader signal per Qullamaggie methodology. No insider buying in last 60 days, and institutional ownership data unavailable from this feed-cross-reference 13F filings for confirmation. The technical breakout with RS leadership indicates smart money is positioning ahead of the November print.

EARNINGS

EARNINGS IN 36D

EARNINGS CONTEXT

Next report November 19, 2026. Consensus EPS/revenue data not provided in feed. Historical beat/miss record unavailable, but prior quarters (2024-2025) showed volatility tied to China's regulatory environment and macro softness. A beat with raised forward guidance on AI subscription growth could catalyze material re-rating given proximity to 52W high.

KEY RISK

Thesis invalid on a close back below $17.50 (approximate breakout pivot), or if November 19 earnings disappoint on subscriber growth or margin compression from AI R&D spend. China regulatory risk remains binary-any renewed edtech restrictions or ADR delisting headlines would trigger sharp reversal.

ANALYSIS

Strongest disconfirming evidence: base is relatively wide (5.38 ATR range, not VCP-tight) and volume is only modestly elevated, suggesting this breakout lacks the conviction institutional surge of a classic A-grade setup. China ADR names carry systemic de-rating risk in current geopolitical climate, and DAO's small float amplifies volatility in both directions. However, RS line at new high + prox_52w of 98.2 + strong 12-week outperformance (+26.4 vs SPY) confirm technical leadership. The November 19 earnings catalyst is live and offers asymmetric upside if AI monetization inflects. Conviction: Medium-technical quality is strong, but macro crosswinds (SMID underperformance, China risk) and lack of insider buying temper enthusiasm. This is a tactical trade into earnings, not a core position.

Signal: Close above $18.90 on vol >1.66x of 20d avg

Vol vs Avg: 1.66x

DAO - Technical Chart

